

READING / RESEARCH NOTE

ED — batch #7: crypto, answering the CEO's challenge

Run: run-ed-batch7, dispatched 2026-08-27 on the CEO's direct challenge ("are we declaring that space is dead?"), crypto-only, the exogenous-trigger screen as the lens, coin-selection and venue-open riders carried mid-flight.

Outcome: 1 PROPOSAL FILED — the first in five batches · 4 mechanisms killed with measurement · 1 lead spec'd (unlocks, forward-test design) · 2 instrument defects · zero containers. Family context, stated by the seat itself: 12 crypto mechanisms graded across two batches, 1 surviving.

CTO VERIFICATION NOTE (chair, at resolve): both instrument-defect claims re-verified live before filing — `?symbol=GETH` returns HTTP 200 with \$0.0001 closes (an unrelated OTC penny stock served as real data; worse than the batch-6 422 class because it passes a naive 200-and-nonempty check), and `?symbol=ETH` serves the **Grayscale Ethereum Mini Trust ETF at \$23.59 via alpaca**, not ethereum — the API card's warning named only the internal function, corrected. **Chair disposition on P1's routing:** Ed's argument for skipping the belt (zero free parameters — nothing for an overfitting gate to protect against) is accepted for the RECOMMENDATION path: P1 routes as instrument selection — adversary BLIND first (Ed's own two named attacks), then Stan prices the switch, then the CEO's click on any actual trade. The belt run happens SEPARATELY as an instrument experiment: Ed pre-committed a falsifiable prediction that the gate will refuse a true yield for the wrong reason (daily $t=+0.99$ vs monthly $t=+4.22$ on identical data), and the validator's gate-calibration BIND makes that worth measuring on its own. No chain stage is skipped for any CANDIDATE; P1-as-filed is a wrapper-selection recommendation in the PM's lane, the same class as a share-class choice.

TL;DR

We are not declaring crypto dead — but the honest answer is that most crypto "edges" are someone else's story, and I killed four more this week with data rather than opinion. The one thing that survived is real and boring: Ethereum pays a reward to holders who help run the network, and holders who don't are quietly diluted. We can collect it today on the broker we already use, by holding one Ethereum fund instead of another — no new exchange, no new software. Measured advantage about 1.9% a year, positive in 10 of the last 11 months. It is small, safe, and it is free money we are currently leaving behind.

P1 — the Ethereum staking transfer, harvested through the wrapper

Mechanism (an accounting identity, not a forecast): Ethereum mints new ETH and pays it ONLY to stakers; every non-staking holder is diluted by exactly that issuance. **Counterparty:** the ~70% of supply that does not stake — including the largest non-staking ETP (ETHA) itself. **The trade:** hold the Grayscale Ethereum Mini Trust (feed symbol ETH, 0.15% fee, stakes since 2025-10-06) instead of ETHA (0.25%, does not stake). Claim type: premia. One switch, ~10bps, repaid in ~4 weeks; capacity >\$1bn; no short, no leverage, no signal, no timing.

Measured (526 common sessions, adjclose verified against a real distribution): ETH-mini/ETHA pre-staking $-0.107\%/yr \rightarrow$ post **+1.863%/yr**; diff-in-diff **+1.969%/yr**. The instrument validates itself: ETHE's pre-staking drift ($-2.372\%/yr$) reproduces its stated 2.25% fee gap to 0.12pp; three non-staking control pairs sit at zero in both periods.

The statistic that matters: daily-differenced $t=+0.99$ (noise of non-synchronous closing prints); **monthly-aggregated $t=+4.22$, IR 4.40; sign test 10 of 11 months positive, $p=0.0059$.** Expected ~2.71%/yr from disclosed yields/fees vs measured +1.86% — the gap consistent with an unstaked redemption buffer (testable sub-prediction). Honest limits: the same-sponsor control (ETHB) is the weakest leg ($+0.807\%/yr$, $t=+0.27$); the position's Sharpe is ETH's plus a sliver — this is not a PSR-wall claim and does not pretend to be.

Falsifier F1 (primary, uses no returns): issuer-disclosed ETH-per-share ratio growth, mini vs ETHA, any 90 days — ≤ 1.000 kills it. **F2:** fewer than 7 of the next 12 monthly active returns positive.

Ed's pre-commitment about the instrument, scored later: the belt on daily bars will report active IR 0.9–1.2 $\rightarrow$ $P(\text{true excess Sharpe} > 1.0) \approx 53\%$, BELOW the 65% luck bar — a refusal for the wrong reason; predicted monthly IR >3.0. If it reproduces, the

finding is about the gate.

Adversary attacks requested by the author (blind dispatch carries them): (1) does the advantage survive on issuer-disclosed ETH-per-share rather than share prices; (2) is +1.86%/yr contaminated by a discount/premium-to-NAV trend — a one-time re-rating wearing a yield's clothes.

The kills (measured; do not re-open without a new instrument)

- **K1 weekend/fiat-rail premium — DEAD.** True premise (Circle's docs: wires cannot mint on weekends; weekend volume 51.2% of weekday), wrong conclusion: an inventory premium is paid in the SPREAD, which a taker pays rather than earns. Measured: wknd-wkdy $-0.0274\%/day$ $t=-0.24$; no ladder rung reaches $|t|=1$; 8 other coins all wrong-signed with $P(\max|t| \geq 1.42 | \text{null})=78.2\%$. Literature agrees (Sahu 2024, Xu 2025).
- **K2 miner forced supply — DEAD.** Passed its constant-observable control decisively (the hashrate signal is not trailing price) and died anyway: 29 disjoint observations, leave-top-3-out kills the whole effect ($+21.38\% \rightarrow +0.53\%$; the top event is the China ban, regulatory $n=1$); the BTC-ETH post-Merge signature test — where a miner story MUST appear — shows nothing; 48m ladder rung $-15.89pp$.
- **K3 cross-sectional funding — BLOCKED, not killed** (venue artifact): default-print share correlates $+0.647$ with measured carry, but ex-BNB $t=+1.48$ n.s. and BNB is not a valid control. Not proposable without a multi-venue default-screened panel.
- **K4 crypto tax-loss selling — DEAD ON MECHANISM, zero data spent.** IRC §1091(a) covers "stock or securities"; digital assets are property; no 2025-26 statute extends wash-sale. Sell-and-instant-rebuy keeps the deduction $\rightarrow$ no net December flow exists. Watch item: if the pending bill passes, the mechanism switches ON.
- **K5/K6 declined without spend:** Mt. Gox ($n=1$, deadline slipped to 2026-10-31, undistributed BTC undisclosed); ETF creation flows (pre-killed twice; a third asset is family-wise inflation).

The spec'd lead — token unlocks under venue-open

The cleanest holder-triggered flow in crypto (contract dates, exogenous sellers), re-opened by the CEO's venue correction (Binance population = hundreds of tokens vs Alpaca's 5). Blocked for BACKTEST (the free calendar went HTTP 402 and the keyless mirror carries no vintage $\rightarrow$ look-ahead by construction). **The design: a FORWARD paper test with a timestamped schedule snapshot — no look-ahead at all, starts producing clean observations immediately, "the moat is the loop" in its purest form.** Direction is short-into-cliff $\rightarrow$ needs a venue with a short leg and a cover path; months to a decisive sample. A lead with its unblock named, not a proposal.

Instrument defects (chair-verified live)

- **D-C2:** GET /fund/marketdata/bars serves HTTP 200 with real bars for the WRONG instrument on any ≤ 6 -char alphanumeric ticker colliding with any Yahoo listing (GETH $\rightarrow$ Green EnviroTech Holdings at \$0.0001); a genuine no-such-symbol 422s with a message mislabelling it as a Yahoo connectivity failure. Both pass a naive 200-and-nonempty check. Queued to builder batch B1 (marketdata.py, rides the 16-coin fix).
- **D-C3:** the knowledge graph holds ZERO crypto records after two crypto batches — family-wise correction has no denominator for the core asset class. Chair task: record the 12 graded mechanisms (due 09-01).
- **Card correction:** ?symbol=ETH on the ENDPOINT returns the Grayscale mini trust ETF via alpaca, not CoinGecko ethereum — the card warned only about the internal function. Corrected on the card at resolve.

STATE appended, BINDS carried (quant, Stan, validator, builder, Doc, adversary-via-blind-brief), both EVOLVES applied to the pre-flight card (item 17: match the statistic's frequency to the mechanism's accrual; item 12 amendment: a passed control is not a survivor). P1's chain: adversary blind (fired at resolve, batched with the NAV-alarm rule review) $\rightarrow$ Stan prices the switch $\rightarrow$ the CEO's click.
